

We will begin by determining our current liquidity status. We will go back to our balance sheet, take a look at the asset side and identify how liquid each asset is. For this, we will estimate the time needed to sell the asset at its full price. Assets that can be sold faster are liquid and others are illiquid assets.

Moving on to estimate our actual liquidity needs; we have already discussed that the higher the liquidity, the lower is the return from the asset class. Therefore, we need to maintain a good-enough level of liquidity in our assets rather than flooding them with liquid assets. To do that, we will start by deciphering our liquidity needs. Let us get back to elementary economics, where we studied the role of money. We know that money comes in to meet the three kinds of needs listed below.

